

damage liability—can make up more than half of your auto premiums.

Some states, known as **no-fault states**, require drivers (and their insurance companies) to pay for their own medical costs after a car accident, regardless of who was responsible. But even if you live in a no-fault state, you still need liability protection. That's because each no-fault state has a threshold above which a person who causes an accident can be sued. For example, in some no-fault states a driver can be sued if he causes severe physical injury to another driver.

Most states require car owners to purchase at least some liability protection, but you should probably buy more than that amount. Even if you don't have many assets, you need liability protection in case a court decides to garnish your future wages. Insurance analysts are hesitant to say what the "right" amount of liability protection is, but when pressed, they suggest that the following guideline is reasonable: If you don't have much savings and you don't own a home, get coverage of at least \$100,000 per person, \$300,000 per accident, and \$100,000 for property. If you own a home and have some money saved, consider purchasing an umbrella liability policy, which is coverage above and beyond any auto or homeowner's liability protection you have. (For details, see the home insurance section.)

- **Medical payments coverage.** This insurance covers your medical and hospital bills (up to a certain dollar amount) if you're injured in a car accident. It also covers the medical and hospital bills (again, up to specific limits) of any passengers in your car. If you live in a no-fault state, you'll be required to buy a minimum amount of medical payments coverage, typically called **personal injury protection** or **no-fault insurance**. Personal injury protection insurance covers your medical and hospital bills (and in some states, your loss of income if you're disabled) regardless of who's to blame for an accident.

If you live in a "fault" state, you're usually not required to purchase medical payments coverage, but you may want to